

Doc's Mailbox Q & A - Free Educational Post

Does gamma matter during the overnight Globex session?



DOC MCGRAW

APR 22, 2026



15



3



3

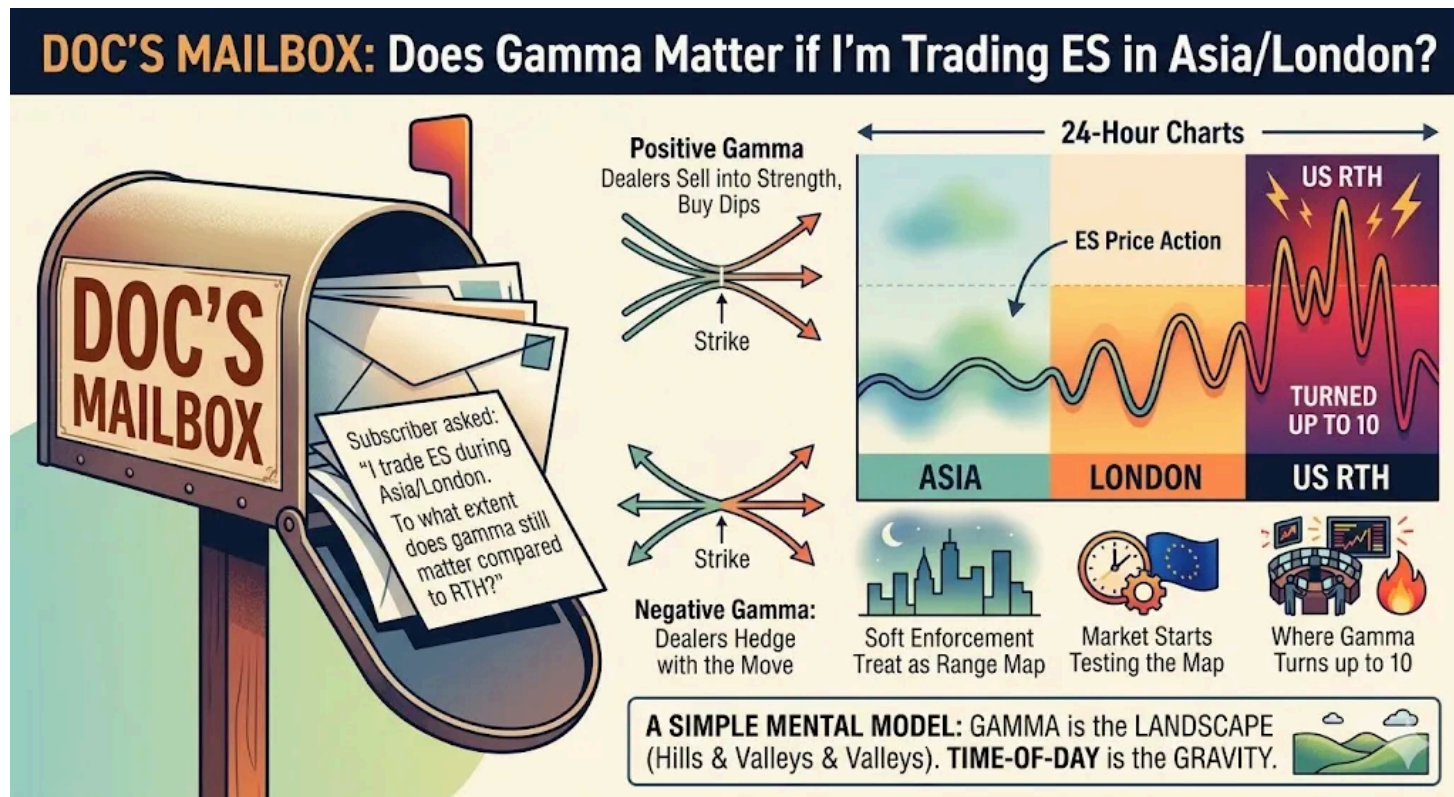
Share



Does gamma matter if I'm trading ES in Asia/London?

A subscriber asked: "I trade ES during Asia/London. To what extent does gamma still matter compared to RTH?"

Short version: gamma absolutely matters overnight, but its *role* changes. The levels and regimes are still there 24 hours a day, yet the flows that really enforce those levels are heavily concentrated in US cash hours. I think of gamma as a 24-hour **map**, and time-of-day as how "loud" or "quiet" that map is



Where does gamma actually comes from

Most of the meaningful gamma that effects ES comes from the index options complex: SPX options, ES options, and to a lesser extent SPY. Dealers who are short those options hedge primarily with ES/SPX futures. That hedging is what turns option

positioning into actual liquidity and behavior on your ES chart. Es price movement responds accordingly

When there is a lot of positive dealer gamma around certain strikes:

- Dealers sell into strength and buy dips.
- Realized volatility is suppressed.
- ES trades in tighter, mean-reverting ranges and tends to “stick” around the largest gamma concentrations.

When net gamma is negative:

- Dealers hedge *with* the move instead of against it.
- Volatility expands and trends are easier to sustain.
- Breaks can accelerate through thin spots as hedging flow chases price.

Those mechanics don't turn off overnight, but the *intensity* of hedging changes with who is awake and how much risk is being re-balanced.

Asia: structure, but softer enforcement

The Asia session in ES is usually the quietest part of the 24-hour cycle. Liquidity is thinner, the average range is smaller, and fewer big players are actively rotating large SPX options books. That has a few implications.

First, the gamma levels still matter. The big call walls, put floors, and the gamma flip (high-vol level) from the prior close still define the overnight landscape. If ES is sitting in a strong positive gamma band, Asia tends to trade in a relatively contained range. You'll often see slow drift and mean-reversion around those levels rather than huge expansions.

Second, the effect is **softer** because there is less active hedging. Dealers still care about their book, but you don't have the same firehose of intraday options flow and re-hedging you see during New York. So instead of clean "pinned to X strike" behavior, you get a looser relationship: levels act like magnets and rails, but price can overshoot or wick through them more easily.

Third, thin books matter. A modest order or a headline can shove ES through an overnight gamma level where RTH would likely absorb that flow. That's why in Asia you'll sometimes see a spike through a prior gamma level that later gets "cleaned up" or reverted when Europe/US come online.

We often see it more dramatically after news - particularly over a weekend (or overnight). We tend to travel to where the large nodes are and seemingly 'by magic'

How to use gamma in Asia if you're trading ES:

- Treat gamma as a **range map**, not hard support/resistance.
- Expect positive gamma zones to behave as “slow, choppy, mean-revert” areas rather than tight pins.
- If we're sitting in negative gamma overnight, know that shocks can travel farther because there is less dealer liquidity to lean against the move.

London: where the market starts testing the map

London is the bridge between the quiet Asia session and the full-throttle US cash session. Volume and participation pick up, European flows come in, and US desks start paying attention even before RTH. The gamma landscape from the prior close is still the same, but now it's being *tested* more actively.

Typical pattern:

- Asia often sets the **initial range**, frequently inside a positive gamma zone.
- London comes in and **targets the edges** of that range, probing toward key gamma inflection points (call walls, put floors, the flip level).

- New York later decides whether those tests become true breaks or just sweeps that revert.

If ES heads into London pinned near a strong positive gamma area, London's first job is often to see if it can push out of that band. Rejections at those levels can set up mean-reversion trades back into the range. Clean breaks, especially if we slide through the gamma flip into a negative gamma regime, can be an early signal that the day wants expansion and momentum.

For London trading:

- Use gamma levels as **decision zones**: London probes, NY confirms or denies.
- A London move that lines up with the current gamma regime (e.g., trending lower while below the flip) has higher odds of continuation into RTH.
- A London move that runs directly into a major opposing gamma concentration (e.g., into a monster call wall in strong positive gamma) is more likely to stall or fake out before US cash opens.

US RTH: where gamma “turns up to 10”

US regular trading hours are where the gamma story gets loud. During RTH, you have:

- Cash SPX trading.
- Heavy SPX, ES, and SPY options volume.
- 0DTE and other short-dated options constantly reshaping the gamma profile intraday.
- Systematic vol strategies, intraday hedgers, and full dealer desks actively adjusting positions.

This is when the same gamma levels you've been watching overnight suddenly behave like **strong** attractors or repellers:

- In positive gamma, you see tight ranges, frequent reversion, and intraday “stickiness” around the largest gamma strikes.
- In negative gamma, you see more one-way pushes, air pockets, and the classic “sell begets sell, buy begets buy” behavior.
- Expiry days and 0DTE can ramp this up even further as intraday charm/theta burn shifts gamma right into the close.

Nothing about the math changed between Asia, London, and RTH. The difference is simply that in RTH you have far more flow interacting with the same structural map, so the reaction at those levels is sharper and more reliable.

A simple mental model: map and gravity

Here's the way I explain it to people who trade ES around the clock:

- Gamma is the **landscape** – the hills and valleys drawn by SPX/ES options positioning.
- Time-of-day is the **gravity** – how strongly that landscape pulls on price.

Asia: gravity is low. The hills and valleys are there, and price tends to respect them, but it floats more and can overshoot before coming back.

London: gravity is medium. The market starts to test which features of the landscape are real. London often picks a side of the Asian range and pushes into or through a key gamma zone.

New York RTH: gravity is high. Dealer hedging and options flow fully engage. The same gamma levels that looked “soft” overnight now act like real walls and magnets, creating either tight pinning (positive gamma) or strong directional runs (negative gamma).

Practical takeaway if you trade ES in Asia/London

If you're active in Asia/London, gamma is still worth tracking, but you should adjust your expectations:

- Use gamma to define your **expected range** and key levels overnight, not as precise intraday magnetism.
- Assume the **character** of the day (range-bound vs. expansionary) is already being hinted at by where we sit relative to the gamma flip and key walls during Asia/London.
- Expect the **full expression** of that character to show up during US RTH once dealer hedging and intraday options flow really kick in.

So when a subscriber asks me, "Does gamma still matter if I'm trading ES during Asia/London?", my answer is:

"Yes, but differently. Overnight, gamma gives you the structure of the game board. During New York, it also provides most of the moves."



Recommend Doc McGraw - \$SPX Trading / Options Gelt to your readers

Daily SPX options structure and flow analysis. Team coverage of futures, stocks, and breakouts.
QUANTUITION: Math + Experience

Recommend



15 Likes · 3 Restacks

← Previous

Next →

Discussion about this post

Comments Restacks



Write a comment...



Maq0225 🧑🏻 Apr 23



♥ Liked by Doc McGraw

Learned



LIKE (1)



REPLY



SHARE



Adrienne Lauzon Apr 22

On all time frames big and small.



LIKE (1)



REPLY



SHARE

1 more comment...

© 2026 Doc McGraw · [Privacy](#) · [Terms](#) · [Collection notice](#)
[Substack](#) is the home for great culture